

*Cyber world  
Leader*



**한국통신**  
**Korea Telecom**

**September 2000**



## **Content**

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- I . Financial Highlights
- II . Data & Internet
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## **I . Financial Highlights**

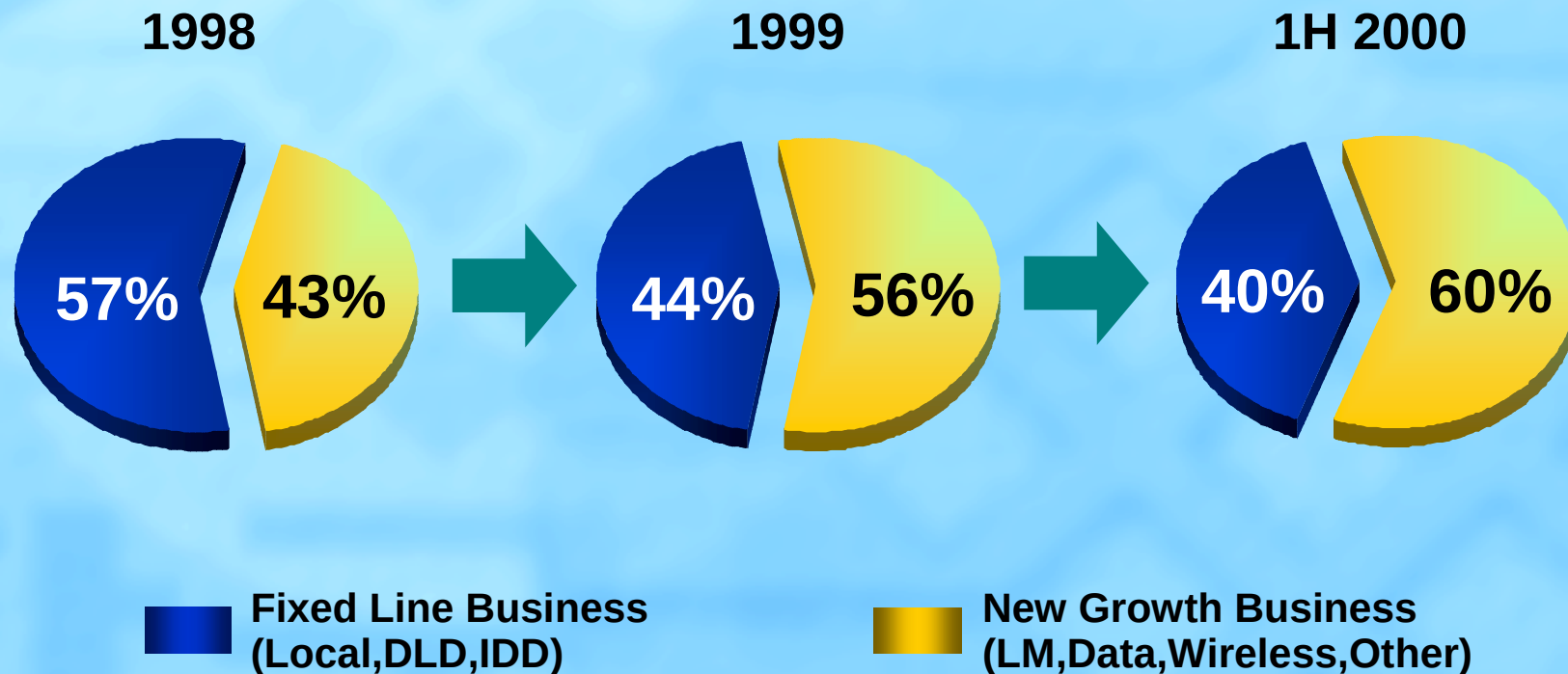
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- Changes in Business Portfolio
- New Growth Business
- Financial Performance
- Improving Profitability
- Sound Financial Structure

## Changes in Business Portfolio

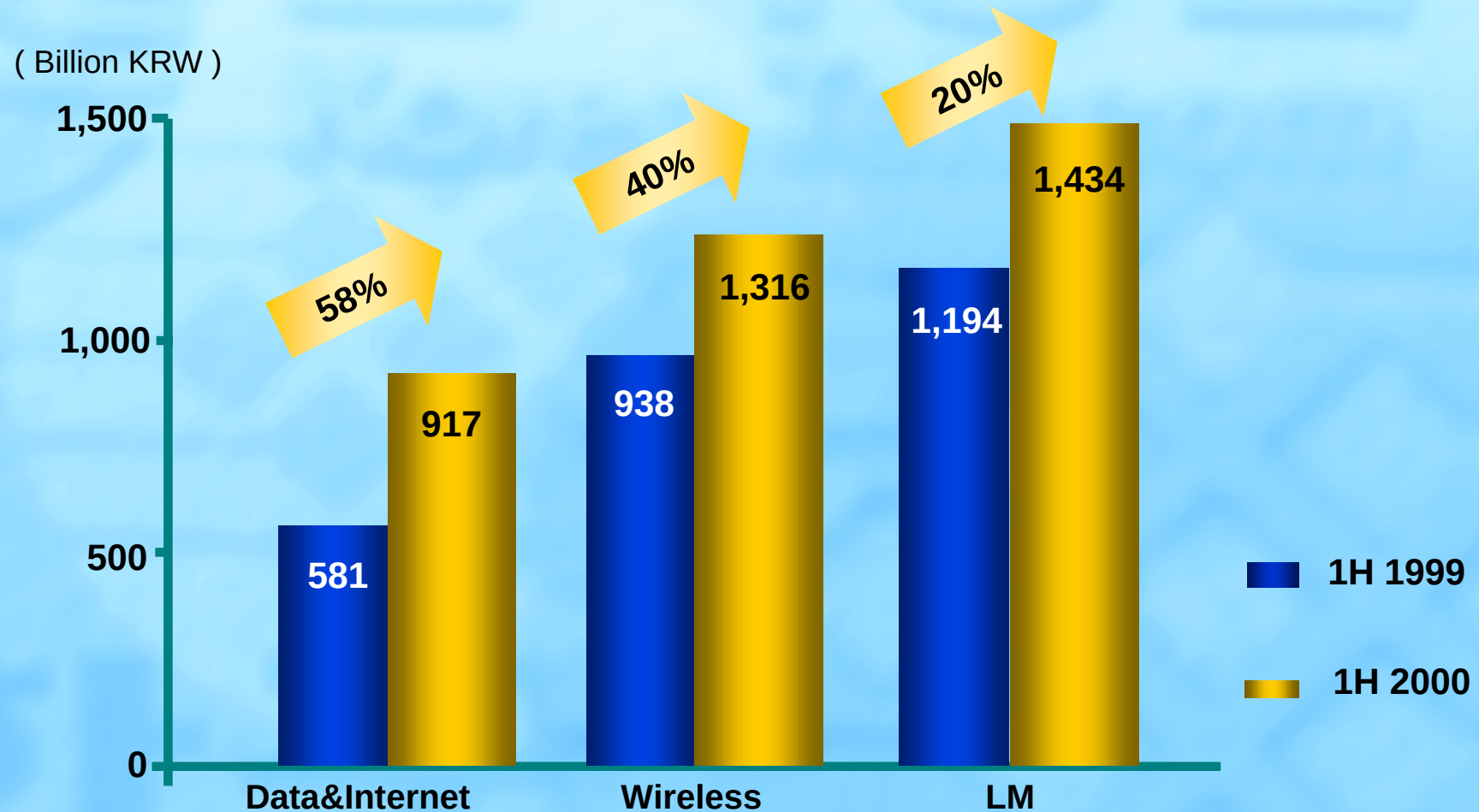
- Revenue driver has been changed from Fixed Line Business to New Growth Business

### Korea Telecom Revenue Trend



## New Growth Business

- Benefits of continuing growth in Internet and Wireless subscribers



Note: Data & Internet includes Dial-Up and Hitel revenue

## Financial Performance

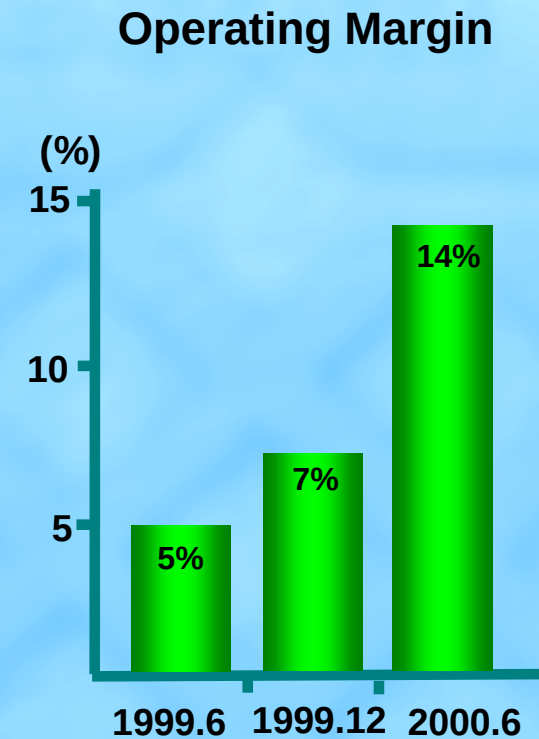
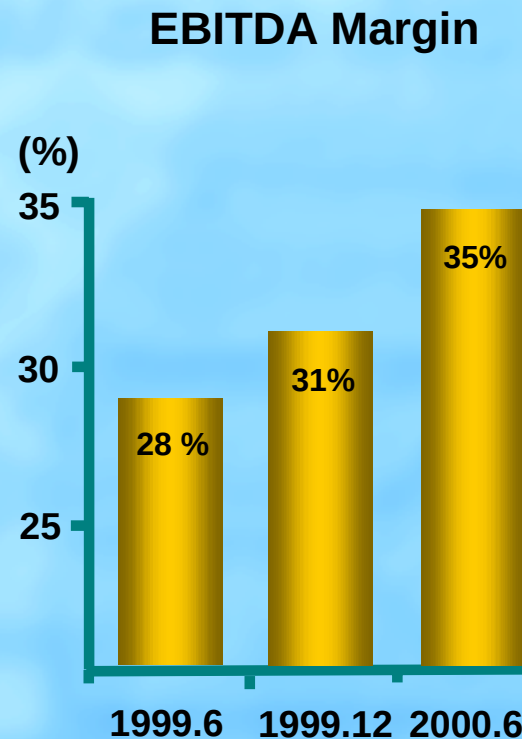
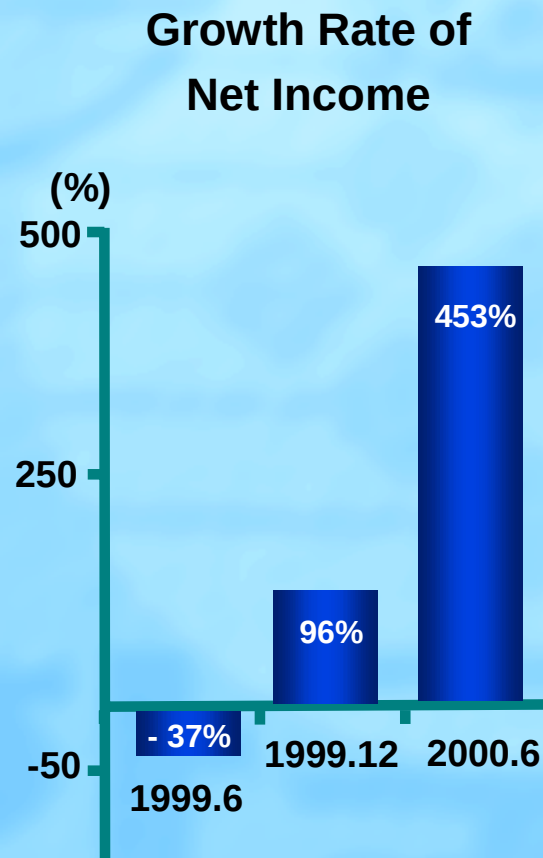
- Strong growth in Net Income (454%)
- Labor cost decreased due to restructuring efforts

| ( Billion KRW)           | 1H 2000      | 1H 1999      | Change     | % Change   |
|--------------------------|--------------|--------------|------------|------------|
| <b>Revenue</b>           | <b>6,389</b> | <b>5,710</b> | <b>679</b> | <b>12</b>  |
| <b>Operating Expense</b> | <b>5,504</b> | <b>5,449</b> | <b>55</b>  | <b>1</b>   |
| - Labor Cost             | 1,405        | 1,848        | -443       | -24        |
| - Depreciation           | 1,338        | 1,321        | 17         | 1          |
| - Interconnection Charge | 804          | 725          | 79         | 11         |
| - Others                 | 1,957        | 1,555        | 402        | 26         |
| <b>EBITDA</b>            | <b>2,222</b> | <b>1,582</b> | <b>640</b> | <b>40</b>  |
| <b>EBITDA Margin</b>     | <b>35%</b>   | <b>28%</b>   | <b>7%</b>  | <b>-</b>   |
| <b>Operating Income</b>  | <b>884</b>   | <b>261</b>   | <b>623</b> | <b>239</b> |
| <b>Net Income</b>        | <b>587</b>   | <b>106</b>   | <b>481</b> | <b>454</b> |



## Improving Profitability

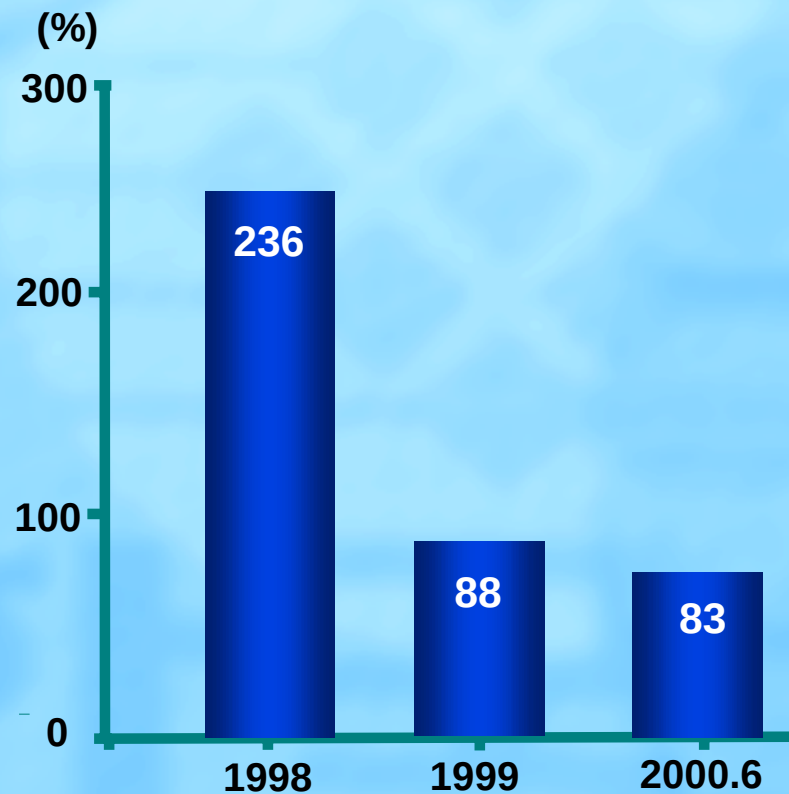
- Significantly improved growth rate of Net Income
- Improved EBITDA margin and Operating margin over last two years



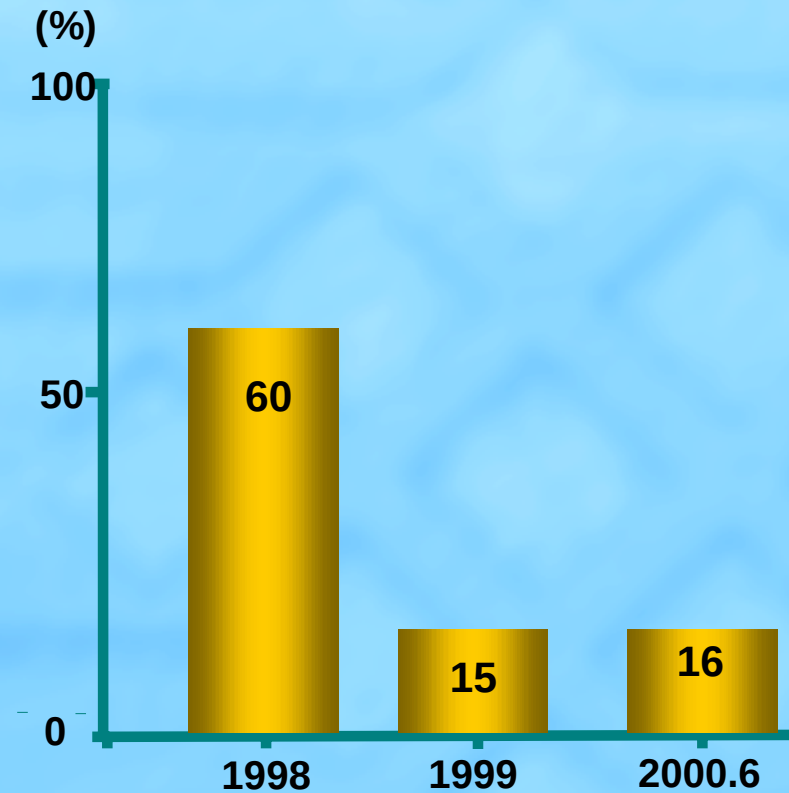
## **Sound Fianacial Structure**

- One of the most financially sound company listed on KSE

**Liability / Equity Ratio**



**Net Debt / Equity Ratio**







## **II . Data & Internet**

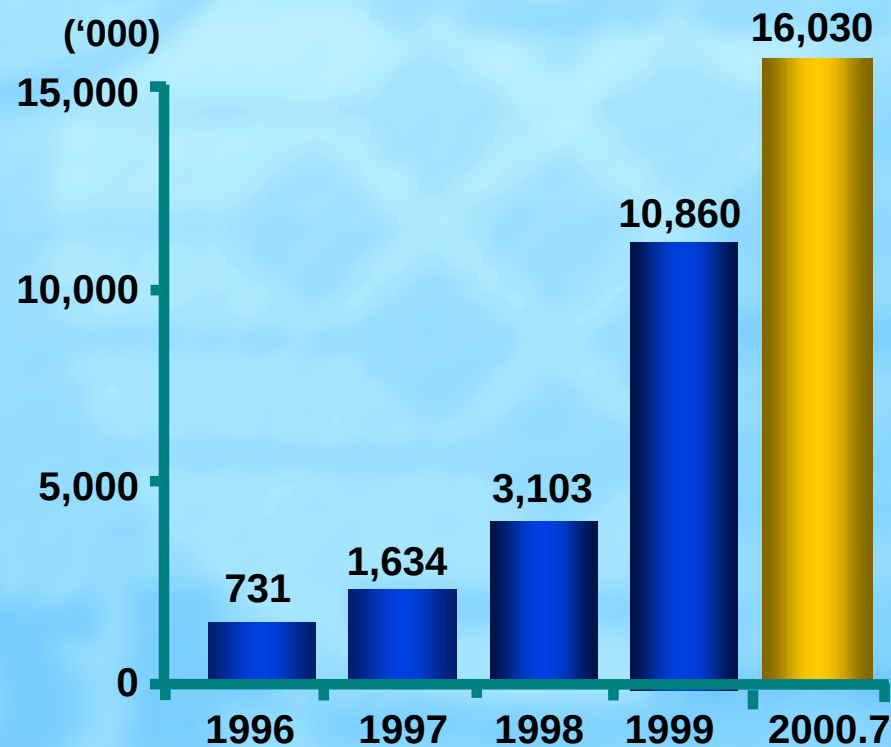
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- Rapid Growth of Internet Market
- Data & Internet Related Revenue
- Broadband Internet Market Leader
- Competitive Advantage of KT in Broadband

## Rapid Growth of Internet Market

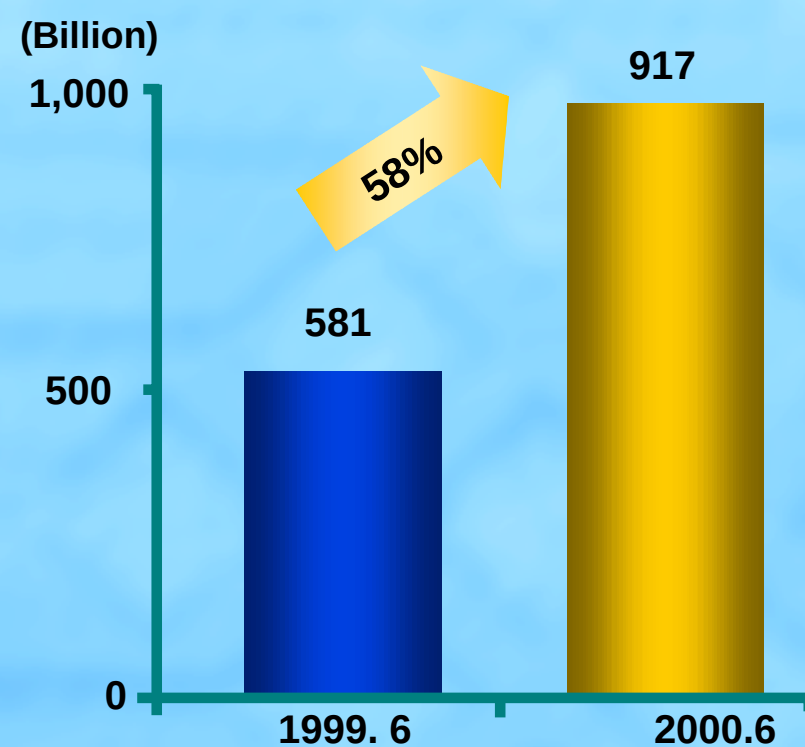
- Korea Internet users over 16million
- Data & Internet related revenue increased by 58% over 1H 1999

**Domestic Internet users**



Source : KRNIC

**Data & Internet Revenue**



## Data & Internet Related Revenue

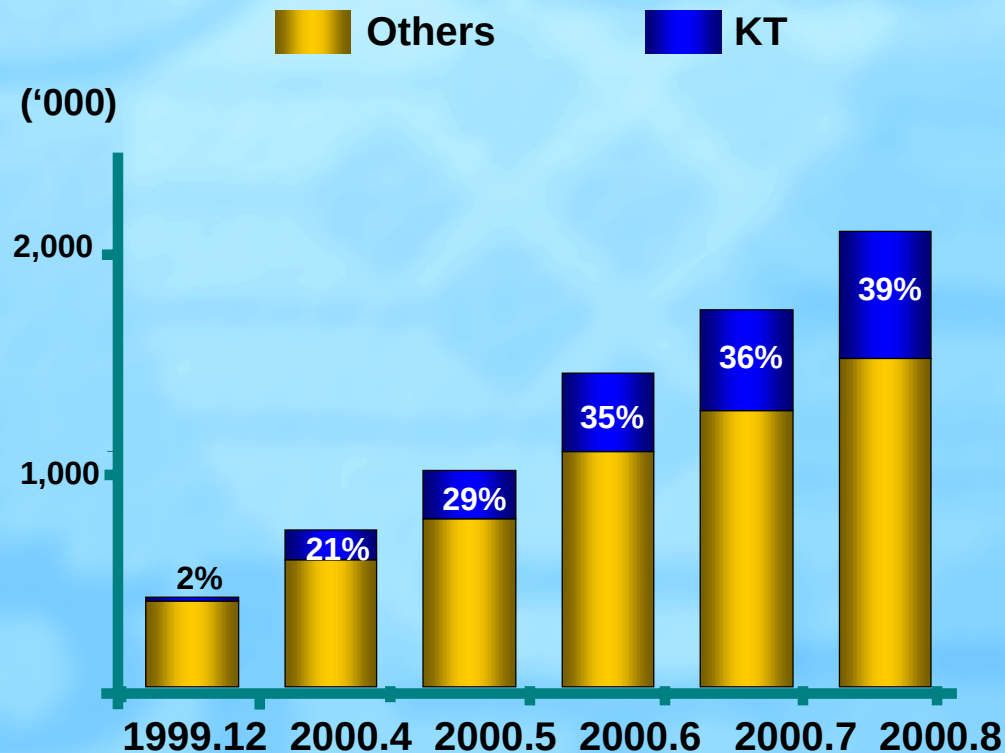
- Accelerated growth in access service such as broadband, leased line, dial-up
- Exploding Internet related demand

| Revenue<br>( Billion KRW )         | 2000.6     | 1999.6     | Change     | % Change     |
|------------------------------------|------------|------------|------------|--------------|
| <b>Data &amp; Internet Revenue</b> | <b>917</b> | <b>581</b> | <b>336</b> | <b>57.8</b>  |
| <b>Leased - line</b>               | <b>505</b> | <b>388</b> | <b>117</b> | <b>30.2</b>  |
| <b>Internet</b>                    | <b>412</b> | <b>166</b> | <b>246</b> | <b>148.2</b> |
| Internet D/U                       | 190        | 98         | 92         | 93.9         |
| Kornet(ISP)                        | 178        | 42         | 136        | 323.8        |
| - ADSL                             | 30         | -          | -          | -            |
| Hitel                              | 39         | 26         | 13         | 50.0         |

## Broadband Internet Market Leader

- # 1 in broadband market share since June 2000
- Target : 1.8 Million ADSL subscribers by the end of 2000

### Broadband Subscriber & Market Share



### Monthly Subscriber Trend

| ('000)     | Net Adds | Cumulative |
|------------|----------|------------|
| 1999.12    | 12       | 12         |
| 2000.4     | 85       | 182        |
| 2000.5     | 146      | 329        |
| 2000.6     | 217      | 546        |
| 2000.7     | 126      | 672        |
| 2000.8     | 200      | 871        |
| 2000. 9.13 |          | 925        |

# **Competitive Advantages of KT in Broadband**

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## **ADSL over Cable**

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- **Limited rollout of cable network in Korea**
  - **KT subscriber line more than twice cable home passed**
- **ADSL : Dedicated lines**
  - **Less sensitive to peak usage hours than cable modem**

## **KT over ADSL Competitor**

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- **ADSL available to 92% of population**  
**(Nation-wide coverage)**
- **KT utilizes existing lines while others must install**
- **The largest fiber-optic lines (84,751Km)**
- **Manpower : 2,500 ADSL dedicated employees**



### **III. Wireless**

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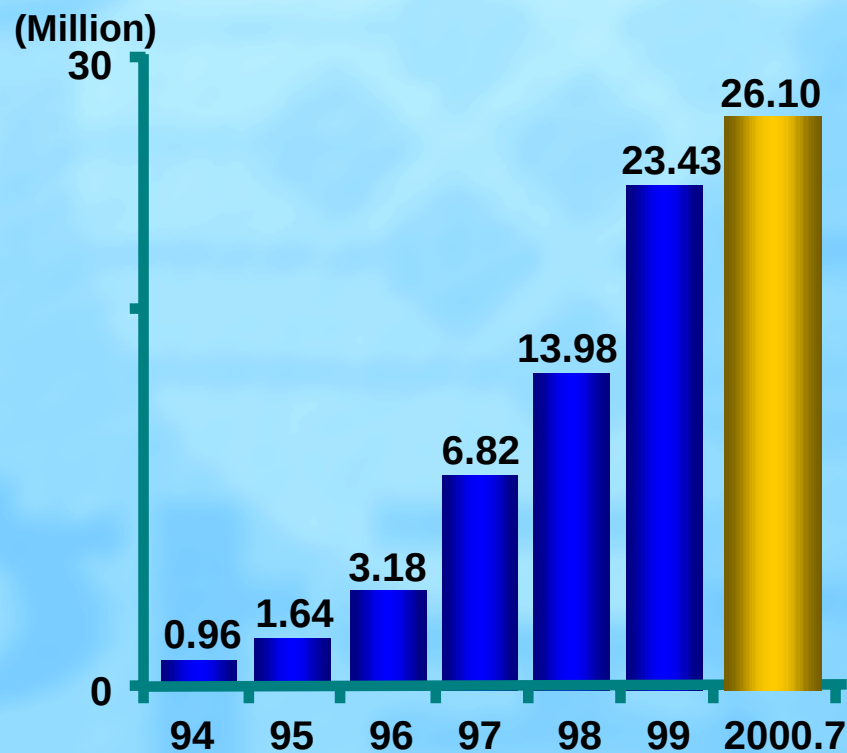
- Rapid Growth of Wireless Business
- Merging Two Wireless Subsidiaries
- Increasing LM Margin



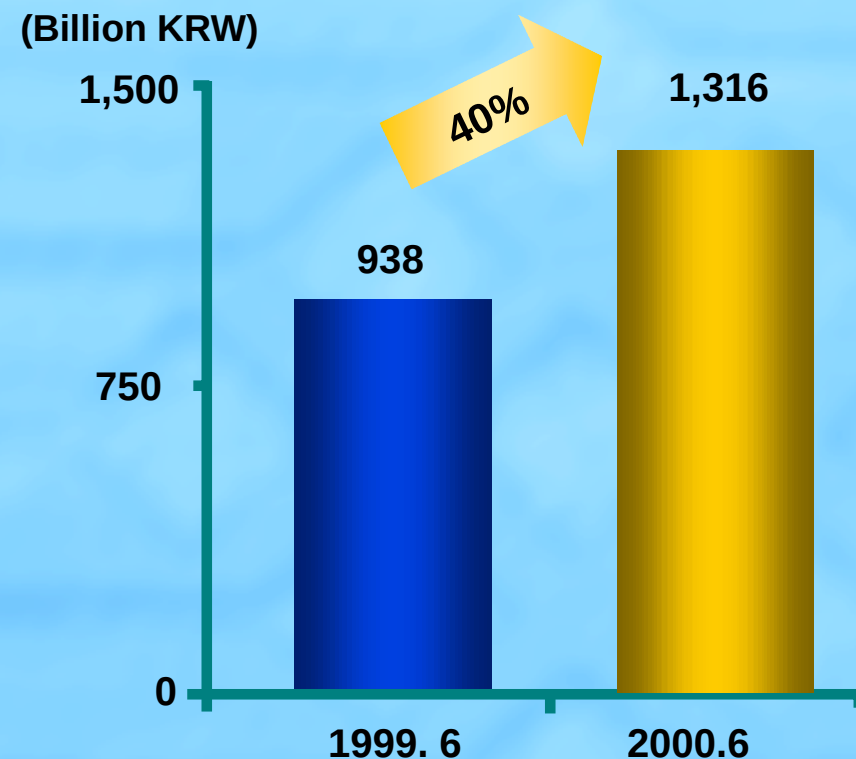
## Rapid Growth of Wireless Market

- Principal beneficiary of wireless market boom
- Wireless revenue increased by 40% over 1H 1999

**Korea Wireless Subscribers**



**Wireless Revenue**



## Merging Two Wireless Subsidiaries

- Merging two wireless subsidiaries by 1H 2001

### KT Freetel

- 4.9 million Subs.
- 18.8% M/S
- 38.7% stake

### KT M.com

- 2.6 million Subs.
- 10.1% M/S
- 47.9% stake



### KT Freetel + KT M.com

#### Target M/S : 38% by 1H 2001

- Co-marketing
- Absorbing SKT+Shinsegi
- KT-PCS resale

#### Synergy benefits : W 4.2 trillion\*

- |                     |     |
|---------------------|-----|
| • Churn reduction   | 2.0 |
| • Expense reduction | 0.3 |
| • Capex savings     | 1.1 |
| • Spectrum value    | 0.8 |

\* Based on NPV, with a discount of 15% until year 2010

## Increasing LM Margin

- Surpassing wireless subscriber growth rate

| (Billion KRW) | 2000. 6 | 1999. 6 | Change | %Change |
|---------------|---------|---------|--------|---------|
| LM revenue    | 1,434   | 1,194   | 240    | 20.1    |
| LM expense    | 916     | 856     | 60     | 7.0     |
| LM margin     | 518     | 338     | 180    | 53.3    |
| Wireless Sub. | 26.6 M  | 18 M    | 8.6 M  | 47.6    |

Note: non-consolidated figures



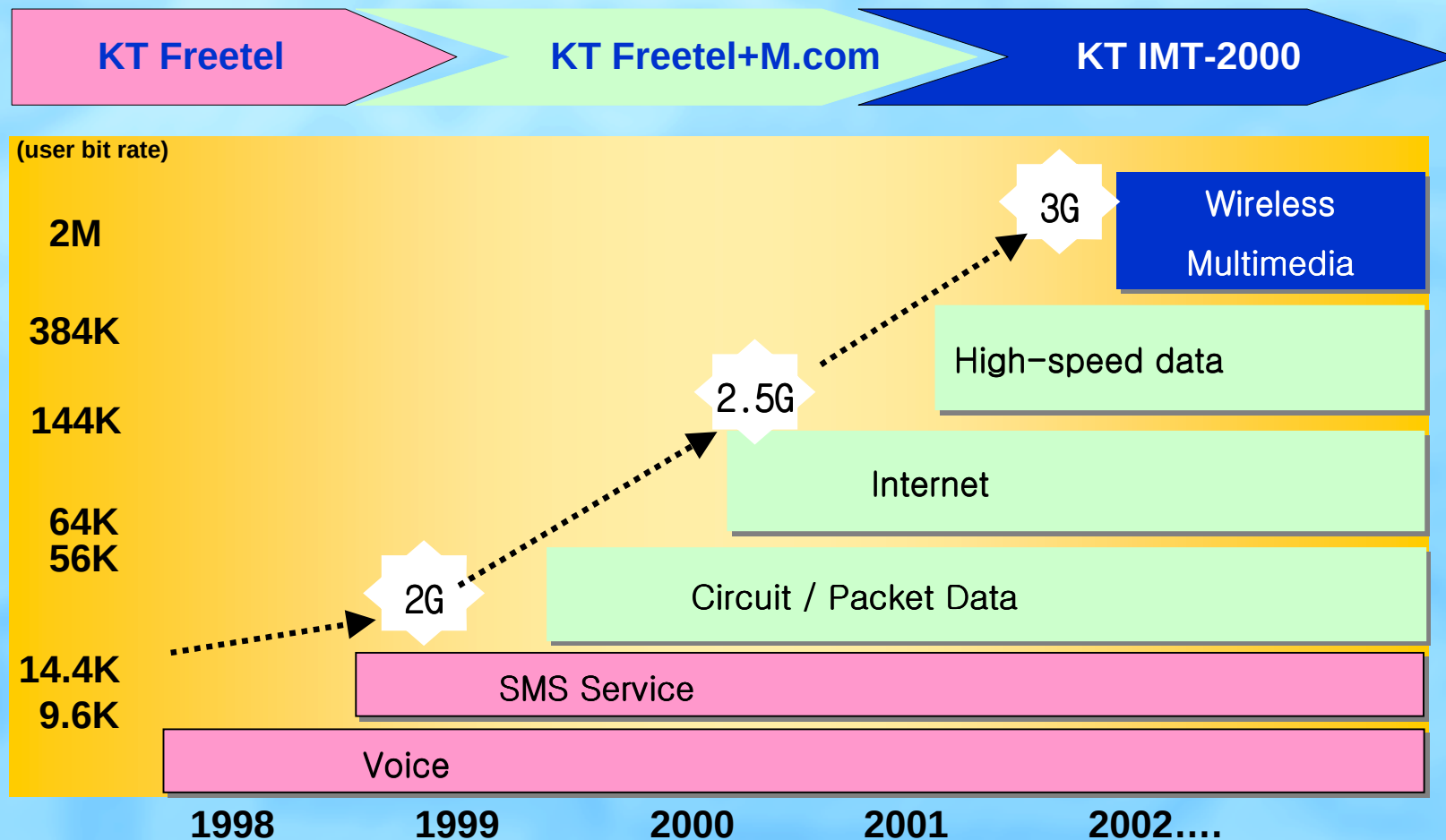
## IV. IMT-2000

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- Further expansion in the wireless business
- Consortium structure
- Comparatively inexpensive license fee
- Strategy

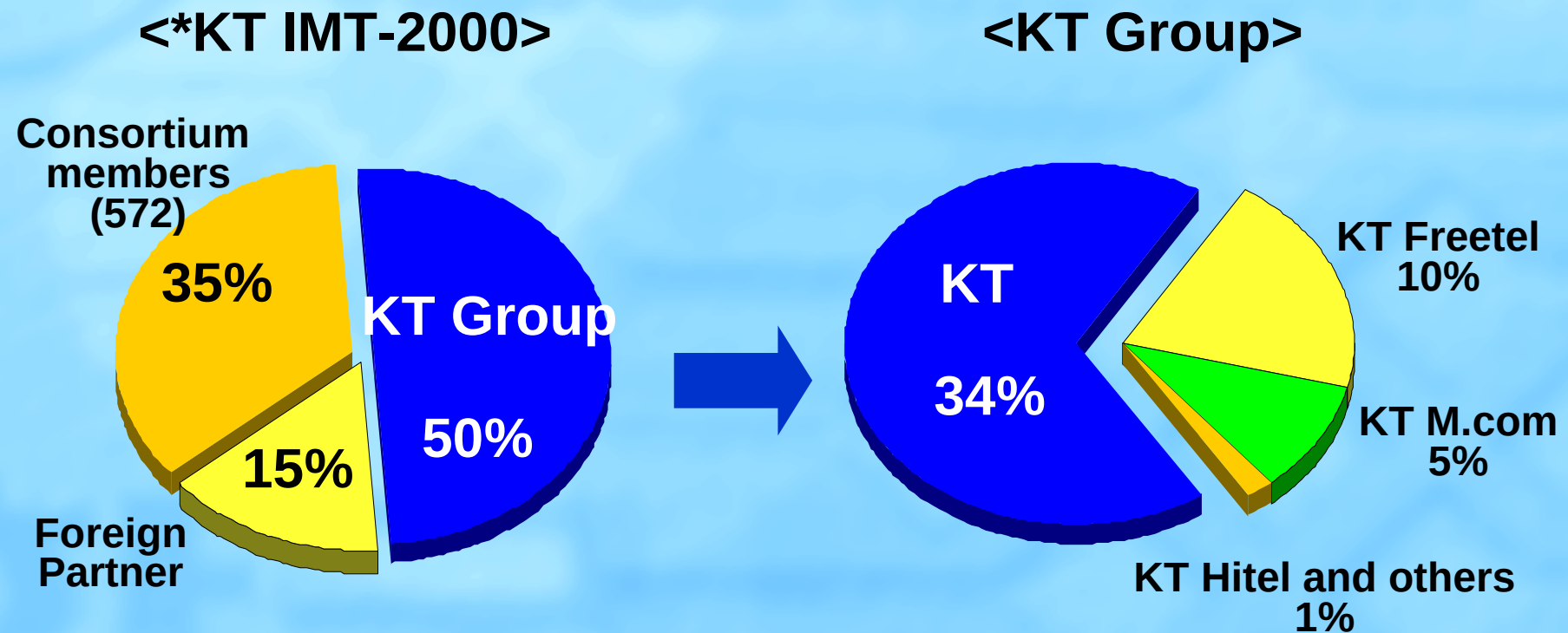
## Further expansion in the wireless business

- Wireless exposure to increase from 2G to 3G
- Target to be the leading 3G player



## Consortium structure

- One of the most important 3G license criteria
- Enhancing contents and technology by strategic selection of consortium members

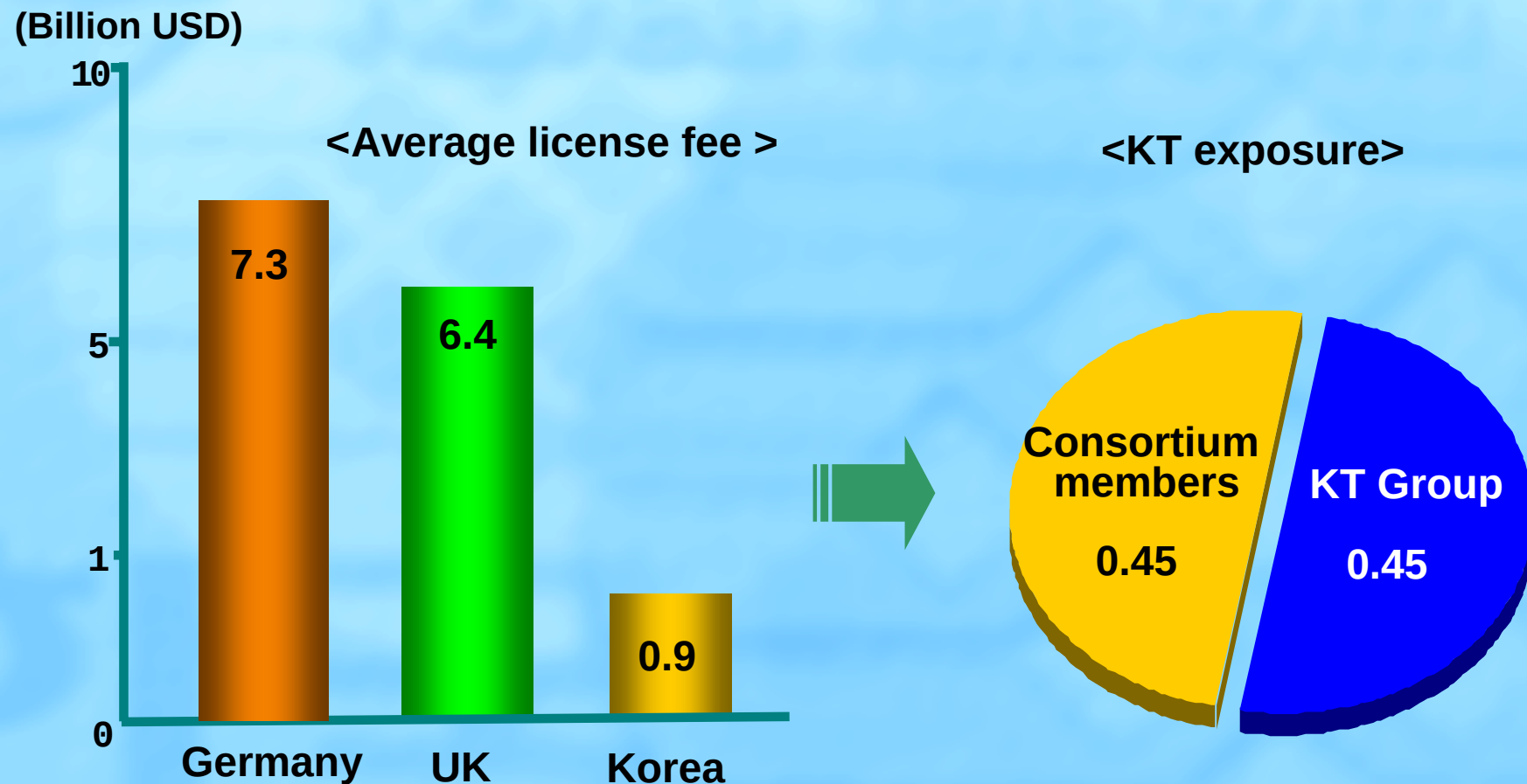


note : "KT IMT-2000" is a provisional name for the 3G consortium



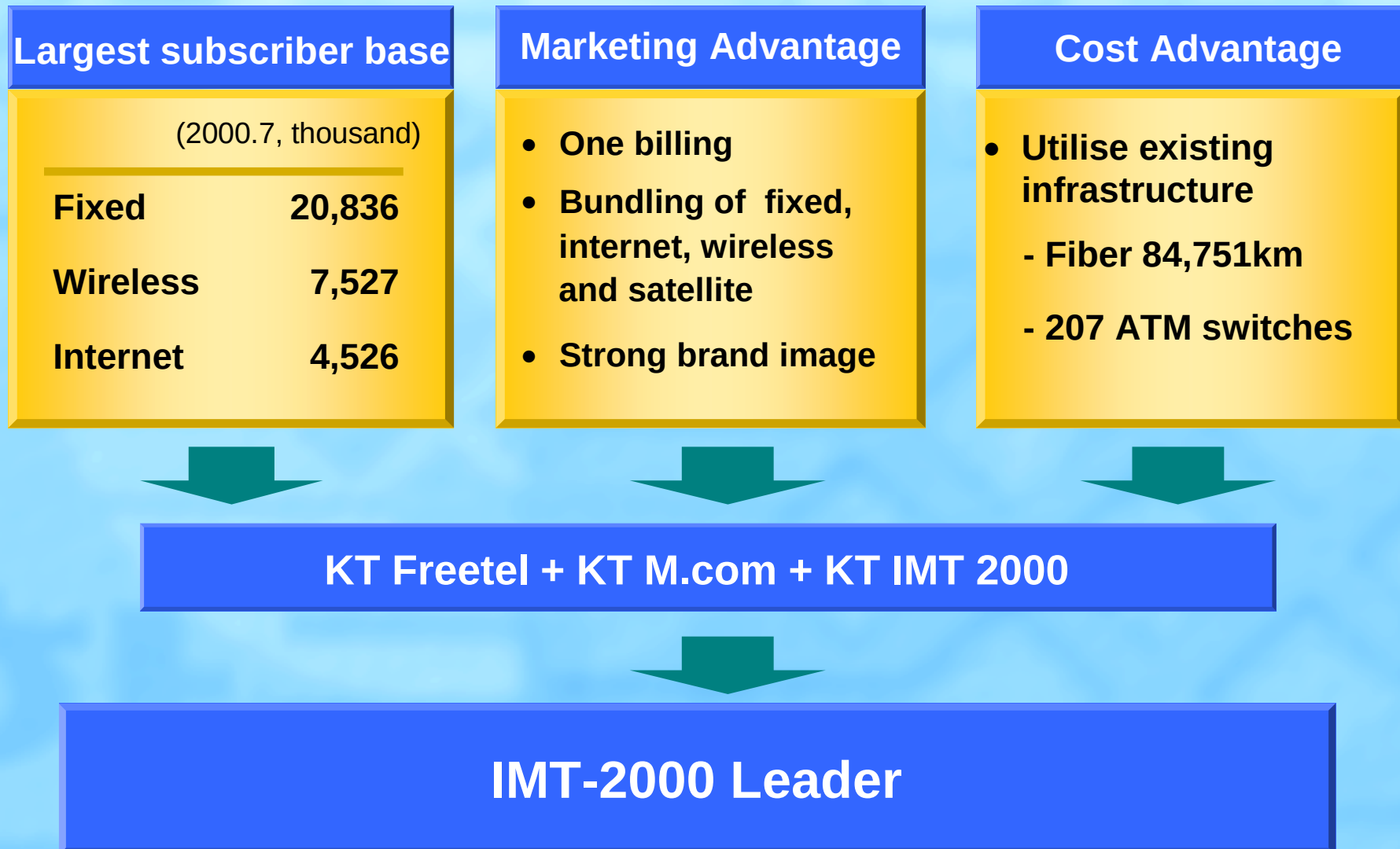
## Comparatively inexpensive license fee

- Significantly less financial burden compare to Germany and UK cases
- license fee and capex to be shared among consortium members



## Strategy

- to create optimal 3G business structure with built-in competitive advantages





## V . Conclusion

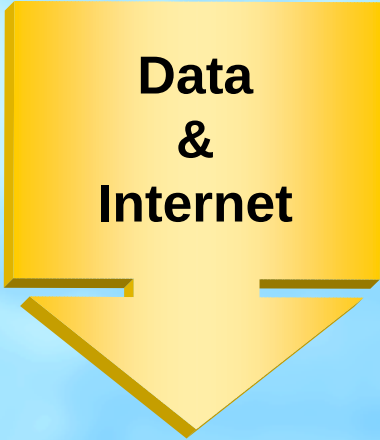
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- Key Growth Drivers

## Key Growth Drivers

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**Data  
&  
Internet**



**Maximizing  
Shareholder  
Value**

**Wireless**



**IMT-2000**



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**Thank you**